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US Economic Update: October 12, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q3 2026 (%)	8-Oct-26	6-Oct-26	5-Oct-26	2-Oct-26	1-Oct-26	30-Sep-26
	3.6	3.7	3.8	3.8	3.7	3.7

US Treasury yields remain elevated

- US Treasurys were again under pressure last week as high oil prices sparked inflation concerns and hence, expectations of further monetary tightening by the Federal Reserve. Moreover, government debt is increasingly competing with corporate bonds—due to high AI-driven spending requirements—for investors' attention and that too at a time when US debt and deficit levels are high. As a result, the 10-year Treasury yield rose to its highest level since 2002 early last week. Strong demand during auctions for 10-year and 30-year Treasurys, however, pushed yields slightly lower on October 8. Nevertheless, the 10-year Treasury yield is still elevated at 5.24% and about 105 basis points higher than at the start of the year. Rising long-term Treasury yields have, in turn, pushed borrowing costs up for consumers and businesses. The 30-year fixed mortgage rate, for example, rose to 7.5% last week—the highest in more than two years.
- Minutes of the Federal Open Market Committee (FOMC) meeting in September show that members remained concerned about inflation amid healthy economic growth and a stable labor market. Committee members warned that higher energy prices and growing AI-related demand could broaden price pressures, with businesses increasingly passing higher costs to consumers. Most participants expected another rate hike later this year. However, FOMC members emphasized that any future rate decision will depend on incoming data and the balance of risks between inflation and economic growth.
- The US trade deficit (in goods and services) widened to US$105.6 billion in August from US$92.8 billion in July. The deficit in August was the largest since March 2025 and was primarily due to a 4.3% increase in imports, aided by higher purchases of industrial supplies and materials, and capital goods—particularly semiconductors and industrial machinery. Exports too grew during the month, but at 1.4%, it was much lower than the corresponding rise in imports.
- Initial claims for unemployment insurance fell to 197,000 in the week ending October 3, a decline of 2,000 from the previous week. The four-week moving average of claims fell by 2,500 to 198,000 during this period.

Figure 1. The 10-year Treasury yield rose to a 24-year high last week; rising yields, in turn, have pushed up key consumer interest rates

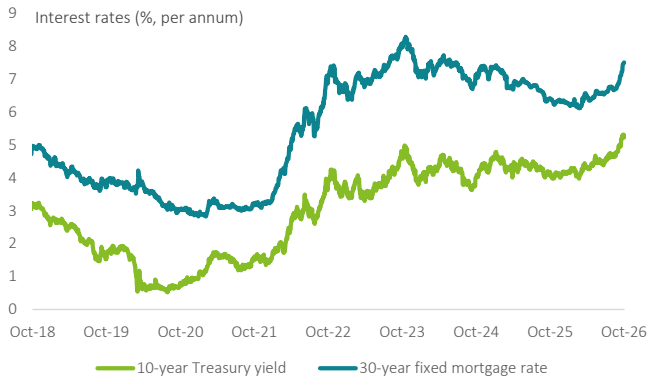
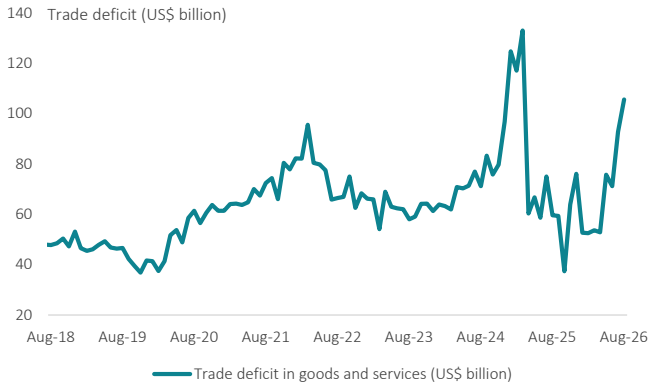


Figure 2. The trade deficit widened to US$105.6 billion in August as a 4.3% increase in imports offset gains from a 1.4% rise in exports



Sources: Haver Analytics; Deloitte analysis.

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Dashboard of key indicators

Real economy

Total nonfarm payrolls

Sep change	3-month avg ch	12-month avg ch	Trend
29,000	50,000	41,000	

Unemployment rate

Sep value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.2	0.1	0.0	

Real disposable personal income

Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.0	0.6	1.3	

Real personal consumer expenditure

Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.6	1.0	2.6	

Nominal retail sales

Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
1.1	0.9	5.4	

Conference Board consumer confidence index

Sep value	1-month ch	3-month ch	Trend
81.9	-6.7	-10.3	

Housing permits

Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-2.1	-0.5	4.2	

Manufacturing industrial production

Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.2	0.1	0.9	

Shipments of core capital goods

Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.5	4.4	11.3	

Trade balance

Aug value (US$ billion)	1-month ch	3-month ch	Trend
-105.6	-12.7	-29.8	

Real GDP

Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
2.2	2.5	2.2	

Corporate profits

Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
40.5	6.1	20.8	

Financial markets

Equity markets

S&P 500 on Oct 9	1-week ch (%)	1-year ch (%)	Trend
7811.5	1.2	19.2	

Treasury yield spread (10 yr - 2 yr)

Spread on Oct 9	1-month ch(ppts)	3-month ch(ppts)	Trend
0.44	0.03	0.1	

CBOE volatility index (VIX)

VIX on Oct 9	1-week ch	4-week ch	Trend
14.8	-0.5	-3.0	

Kansas City Fed financial stress index (KCFSI)

Sep index	1-month ch	3-month ch	Trend
-1.0	-0.1	-0.2	

Inflation

Consumer price index (CPI)

Aug change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.4	0.0	3.4	

Core CPI (CPI excluding food and energy)

Aug change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.5	2.4	

Core PCE (PCE price index excluding food and energy)

Aug change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.5	3.0	

Philadelphia Fed 10-year ahead inflation expectations

Q3 2026 (%, YoY)	Q2 2026	Q3 2025	Trend
2.3	2.4	2.3	

Sources: Haver Analytics; Deloitte analysis.